

26CHCV01260 26CHCV01260

County: los-angeles

Division: Civil Law and Motion

Department: F46

Hearing date: 2026-07-15

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Case Number: 26CHCV01260 Hearing Date: July 15, 2026 Dept: F46

Dept. F-46

Hearing Date: July 14, 2026

Case Number: 26CHCV01260

DEFENDANT TY INVESTMENT LLC'S MOTION TO COMPEL
ARBITRATION AND TO STAY PROCEEDINGS

Motion filed on April 30, 2026.

MOVING PARTY: Defendant TY Investment LLC

RESPONDING PARTY: Plaintiffs Jose Gracia-Medrano and
Georgina Gracia-Medrano

NOTICE: OK.

RELIEF REQUESTED: Order compelling arbitration and staying
or dismissing this action.

RULING: Continued.

ORDER

The Court has reviewed the moving, opposition, and reply
papers. The motion presents an issue requiring further briefing before the
Court rules on the request to compel arbitration.

Plaintiffs argue the Arbitration Agreement is substantively unconscionable because it excludes from arbitration “[a]ctions by the lender to judicially or non-judicially foreclose on the note and deed of trust . . . to recover possession, ejectment or relief from the automatic stay in bankruptcy, or to obtain relief through governmental agencies.” (Hu Decl., Ex. 7.) Plaintiffs contend these carveouts preserve Defendant TY’s judicial remedies while requiring Plaintiffs to arbitrate any challenge to the foreclosure. The Court notes Defendant TY has filed a separate unlawful detainer action involving possession of the subject property.

The Court requires supplemental briefing on whether these lender-only carveouts render the Arbitration Agreement substantively unconscionable under the circumstances of this case, including whether *Flores v. Transamerica HomeFirst, Inc.* (2001) 93 Cal.App.4th 846 and/or *Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899 applies to, or is distinguishable from, the carveouts at issue here. The parties shall also address whether, if any carveout is found unconscionable, the proper remedy is severance, limitation of the carveout, or denial of arbitration.

Accordingly, the hearing on Defendant TY Investment LLC’s Motion to Compel Arbitration and to Stay Proceedings is continued to August 11, 2026, at 8:30 a.m. in Department F-46.

The parties shall file simultaneous supplemental briefs, not exceeding five pages, no later than July 28, 2026. The supplemental briefs shall be limited to the issue identified above. No reply briefs shall be filed unless ordered by the Court.

The Court does not request further briefing on the existence or scope of the Arbitration Agreement, the consumer/business-purpose loan issue, arbitration costs, or fraud in the inducement.